

01 Jun 2026 15:24:03 ET | 28 pages

China Battery Materials

High-conviction call for lithium carbonate price to rally to Rmb250k/t, and Equities Will React

CITI'S TAKE

Lithium and battery materials are out of the woods since 2H25 thanks to strong demand, echoing our last lithium report in early Nov-25 (see [note](#)). Considering demand continues gaining conviction ahead, together with on-and-off supply disruption factors, we remain bullish on lithium price and think it could test the level of Rmb250k/t during the year (possibly in Aug-Sep). With recent correction in Chinese lithium equities on concern of demand destruction if price stays high, we move up our preference on lithium names as we believe they will outperform the rest of the battery chain when the price rises. We raise the preference on lithium; our latest pecking order along the value chain is lithium > cathode > battery > electrolyte > separator > battery parts > anode (see [here](#)). Top picks are Ganfeng Lithium, CATL-A, Hunan Yuneng, EVE and CALB.

Reiterate our bullish view on lithium ASP during 2026 — Even though lithium price retreated after touching Rmb200k/t in last two weeks, we still see possibility that lithium price could test another critical level of Rmb250k/t in the rest of the year, likely during Aug-Sep (traditional peak season of NEV plus another front-loading export window). Major battery makers should welcome new capacity onboard during Aug-Sep at the least to achieve its yearly output target, indicating a relatively material demand increase in that time. Fundamentals remain solid, which should support another round of momentum on the lithium price uplift, in our view.

Lithium names under our coverage — Stronger lithium prices reflect stronger demand, and this will be positive for equities sentiment along the battery chain. We maintain Buy on both Tianqi Lithium and Ganfeng Lithium, considering both lithium names should benefit from the lithium ASP uplift amid robust on-the-ground battery demand, thanks to their cost edge, scale effect, and other competitive factors. Of the two, Tianqi Lithium's share price is catching up QTD due to the undemanding valuation, and we estimate the trade should still open in the near term. However, we prefer Ganfeng Lithium on a longer time horizon, as it is witnessing double tailwinds of increasing equity volume in carbonate (incl Goulamina, Cauchari, PPG, and Mt Marion) and ASP uplift in the upcycle, while Tianqi should have few volume increments in the next 2-3 years.

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															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Ganfeng Lithium	002460.SZ	Rmb	69.860	139,267	01 Jun 15:00	1	nc	-	85.510	93.000	33.1	0.1	33.2	Dec-25	0.717	4.193	0.877	4.046
Ganfeng Lithium	1772.HK	HK\$	63.35	160,586	01 Jun 16:10	1	nc	-	66.70	78.12	23.3	0.1	23.4	Dec-25	0.717	4.193	0.877	4.046
Tianqi Lithium	002466.SZ	Rmb	62.170	106,511	01 Jun 15:00	1	nc	-	71.690	75.140	20.9	0.0	20.9	Dec-25	1.527	4.246	1.950	3.210
Tianqi Lithium	9696.HK	HK\$	49.04	122,816	01 Jun 16:10	1	nc	-	61.00	68.00	38.7	0.0	38.7	Dec-25	1.527	4.246	1.950	3.210

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

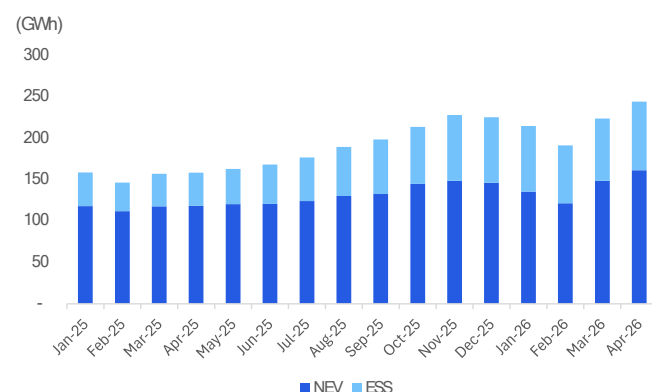
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Lithium and battery materials are out of the woods since 2H25 thanks to strong on-the-ground demand, echoing our last lithium report in early Nov-25 (please refer to [China Battery Materials - Returning to a Demand-Driven Landscape](#)). Considering demand continues gaining conviction ahead, together with on-and-off supply disruption factors, we remain bullish on lithium price and think it could test the level of Rmb250k/t during the year (possibly in Aug-Sep). Citi Commodity Team also sees lithium prices staying elevated in the near term amid a tight fundamental backdrop, please refer to [Metal Matters - We see lithium prices staying elevated in the near term](#) for details.

Battery production pipeline reaffirms the strong demand month by month

Channel check with ZE Consulting suggests on-the-ground battery production pipeline extends the strong momentum YTD, easing off previous concerns that (1) NEV might be weaker than expected in FY26, and (2) raw materials cost inflation might put downward pressure on ESS demand as its IRR is highly cost sensitive. According to ZE Consulting, 4M25 battery production was up by 41% YoY to 874 GWh, and within that, NEV battery production and ESS battery production was up by 22% YoY and 99% YoY to 567 GWh and 307 GWh respectively.

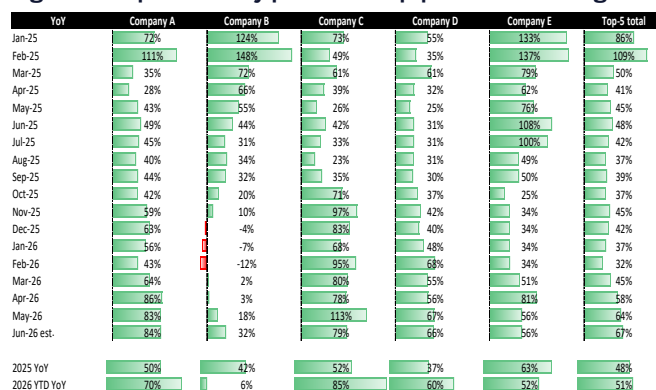
Figure 1. Robust battery production pipeline YTD



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Source: Citi Research, ZE Consulting

Figure 2. Top-5 battery production pipeline YoY change

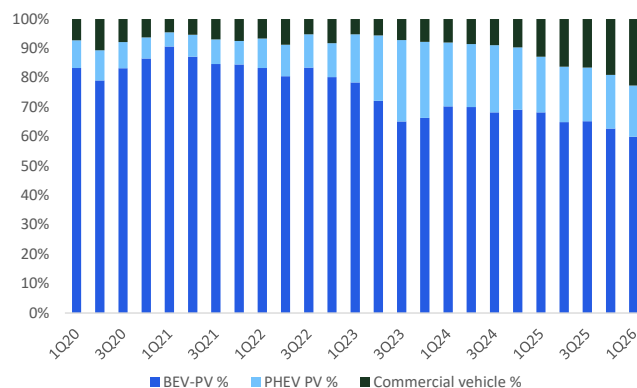


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Source: Citi Research, ZE Consulting

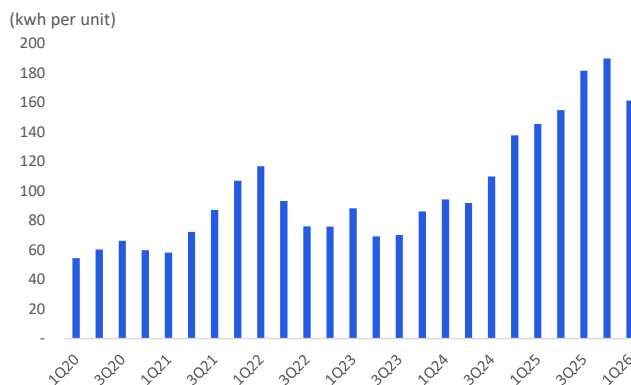
NEV battery demand turns out to be resilient YTD, mainly attributable to (1) stronger than expected NEV export YTD, and (2) increasing commercial vehicle % of total NEV battery demand which acquires much higher battery size vs passenger vehicles. Monthly battery installation data pack from Real Lithium suggests that 1Q26 China EV battery installation was +18% YoY to ~176 GWh, thanks to the surging commercial vehicles in terms of both volume hike and upsizing battery. The battery installation of commercial vehicles was up by 109% YoY to 39 GWh, taking up 22% of battery installation in 1Q26 (vs 16% in 2025 and 9% in 2024), as more and more special vehicles have changed from ICE to BEV.

Figure 3. Commercial vehicle % of battery installation kept soaring in the last few quarters



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Source: Citi Research, Real Lithium

Figure 4. Battery size of commercial vehicle (kwh per unit)



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Source: Citi Research, Real Lithium

On-and-off supply disruption on the course of the year

Even though demand has been gaining conviction YTD, lithium becomes more volatile in trading as there are on and off supply disruptions during the course of the year, putting upside/downside risks on the dynamics. Here we list out the topical supply disruption factors and our read on the latest update.

- JXW (-ve to lithium price)** - JXW has been suspended since Aug-25 due to the mining permit expiration, the inappropriate mining license as ceramic clay and environmental issues (i.e., river encroachment, tailings treatment, etc.). According to our channel checks with industry contacts & public government announcement, CATL has obtained proper mining permit in early-26 and is still pending approval for environmental license. It's difficult to arrive at a market consensus view on the clear resumption timeline as it depends on the government process instead of the corporate initiatives. Overall, it's a hovering negative alert to the lithium price before the finalized approval.
- Lepidolite mines update (+ve to lithium price)** - 4 of the remaining lepidolite mine might need to go through the same procedure (i.e., mining permit, environmental license, etc.) sooner or later during the year, indicating further downside risk to the lithium supply. According to our channel check with industry contacts, companies are expediting the lepidolite production YTD to pile up the lepidolite inventory for conversion later. That said, if the remaining lepidolite mines do need to suspend for a license update, the actual impact this year might be less than the on-paper figures (~8k tons LCE per month, taking up 7-8% lithium supply in China), but the impact in FY27 or years after depends on the approval timeline.
- Australian mines update (-ve to lithium price)** - Australian high-cost spodumene mines are gradually incentivized to restart and/or expand since 2H26 due to the attractive spodumene prices YTD. Below please find the summary on incremental spodumene incentivized from high spodumene price.

Figure 5. Incremental Ausi spodumene incentivized from high spodumene ASP YTD

Spodumene mines	Update	Supply impact (est.)	
		FY26	FY27
Ngungaju	25kt LCE start up in late 3Q26	5-7kt LCE	25kt LCE
Bald Hill	To add 20kt LCE	5-7kt LCE	20kt LCE
Mt Marion	Plans to add 10kt LCE and that comes from late 2027 on wards	Nil	Immaterial
Finniss	First shipment only in 4Q26	5-7kt LCE	30kt LCE

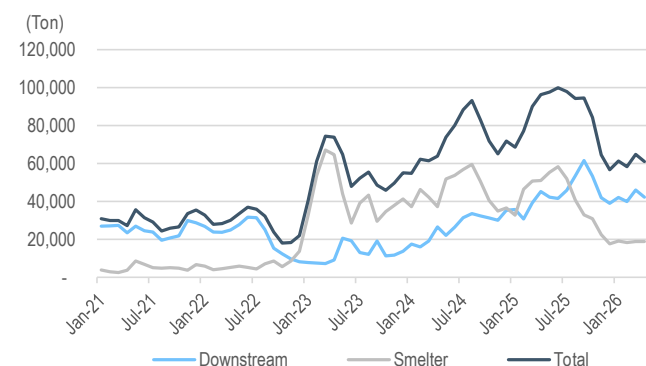
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Source: Citi Research, Company Reports

- **Zimbabwe (+ve to lithium price)** – Zimbabwe resumes the spodumene export by end of Apr-26, after its ~3 months spodumene export restriction since Feb-26. We estimate the shipment should gradually arrive in China by end June / early July, easing off the tight spot market dynamics. On top of that, companies will be charged a 10% export rate out of revenue when exporting the spodumene in Zimbabwe, indicating cost inflation on spodumene/lithium conversion ahead.

Key Charts

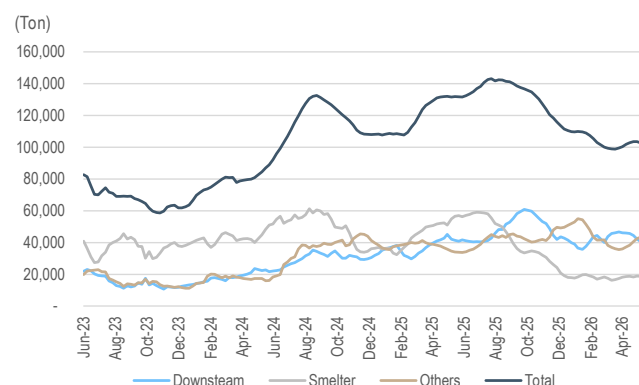
Figure 6. Lithium carbonate monthly inventory



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Source: Citi Research, SMM

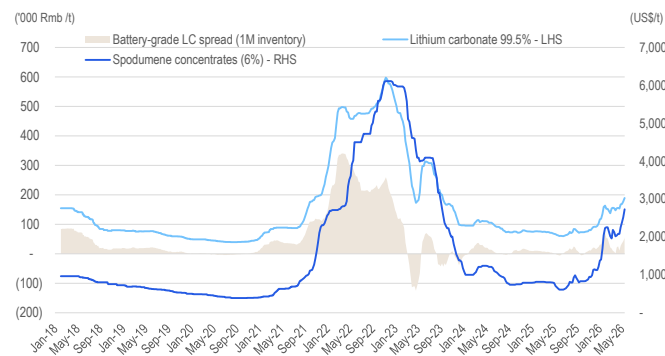
Figure 7. Lithium carbonate weekly inventory



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Source: Citi Research, SMM

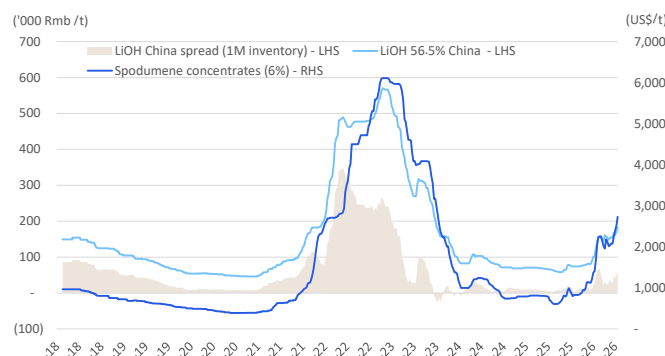
Figure 8. Spread of battery-grade LC (assume 1M inventory)



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Source: Citi Research, SMM

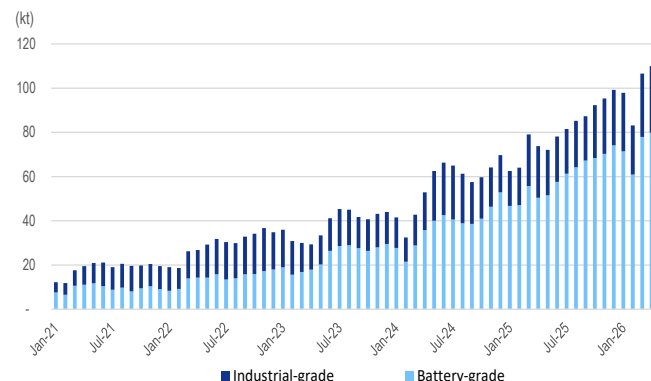
Figure 9. Spread of battery-grade LC (assume 1M inventory)



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Source: Citi Research, SMM

Figure 10. Lithium carbonate monthly production



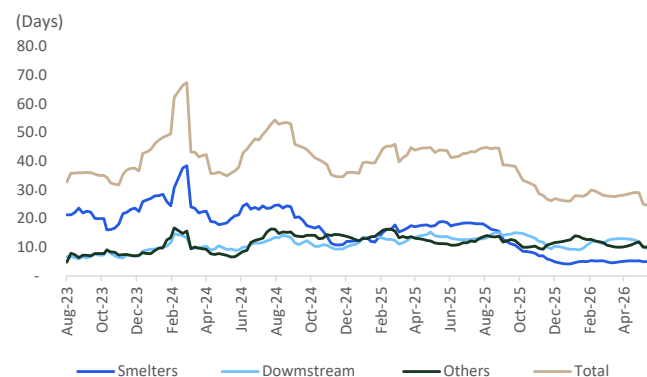
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Source: Citi Research, SMM

Figure 11. Lithium carbonate weekly production



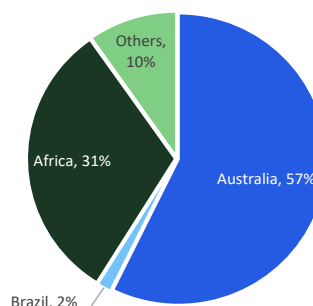
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Source: Citi Research, SMM

Figure 12. Lithium carbonate - inventory in days



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Figure 13. Spodumene import by country (4M26)



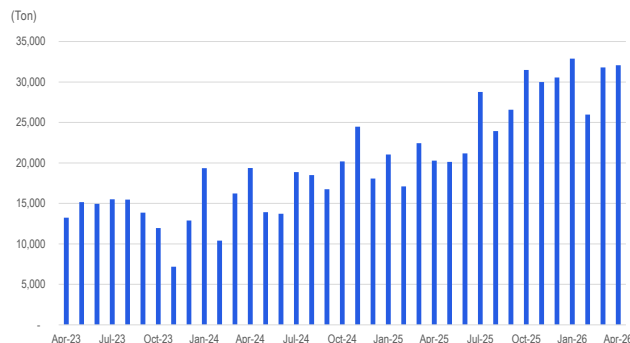
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Figure 14. Monthly apparent consumption (lithium carbonate)



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Figure 15. Monthly apparent consumption (lithium hydroxide)



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Source: Citi Research, SMM

Company Section

Ganfeng Lithium (002460.SZ)

Buy | TP Rmb93.000 from Rmb85.510 | Price Rmb69.860 (01 Jun 26 15:00)

Investment thesis —Ganfeng Lithium should benefit from the lithium ASP uplift amid robust on-the-ground battery demand and improving cost competitiveness on increasing contribution from low-cost upstream resources (i.e., Goulamina, Mariana, and others). Its continual improvement in equity-owned lithium volume in the next 2-3 years (incl. Goulamina, PPG, Cauchari, and others) laid solid foundation on its long-term competitiveness. Also, its fast-developing battery business should provide further upside support to the headline NP in the upcoming years.

Model update — We update our Ganfeng Lithium financial model post FY25 & 1Q26 results set to factor in (1) the strong start of the year on back of soaring lithium ASP in 1Q26, (2) re-built lithium segment driven by integrated part with equity volume and non-integrated part on pure conversion business, and (3) trending better battery business which could largely pass through the raw materials cost inflation (incl. lithium, copper, ali, etc.). We revise up our FY26/27 headline net profit to Rmb8,457 mn and Rmb8,161 mn with blended VAT-included lithium carbonate and spodumene ASP assumption at Rmb175k/t and US\$2,300/t in FY26 and Rmb160k/t and US\$2,050/t in FY27 respectively. Introduce FY28 estimates.

Valuation — Reiterate our Buy rating on Ganfeng Lithium-A, and our new TP is set at Rmb93/sh, based on 3.2x 2026E P/B, at the historical 5-year average level since 2021, factoring in the tight S/D lithium dynamics ahead. Implied 2026E P/E is ~22x. Ganfeng Lithium-A currently trades at 2.6x 2026E P/B and 17.3x 2026E P/E respectively.

Figure 16. Ganfeng Lithium – Sensitivity analysis of carbonate & spodumene

Net Income (2026E, Rmb mn)	Spodumene price (US\$/t)								Implied ASP (Rmb/t incl VAT)
	2,900	2,750	2,600	2,450	2,300	2,150	2,000	1,850	1,700
105,000	86	976	1,866	2,756	3,646	4,536	5,426	6,316	7,206
115,000	1,051	1,941	2,831	3,721	4,611	5,501	6,391	7,281	8,171
125,000	2,016	2,906	3,796	4,686	5,576	6,466	7,356	8,246	9,136
135,000	2,980	3,870	4,760	5,650	6,540	7,430	8,320	9,210	10,100
145,000	3,945	4,835	5,725	6,615	7,505	8,395	9,285	10,175	11,065
Ganfeng Blended ASP (Rmb/t excl VAT)	4,910	5,800	6,690	7,580	8,470	9,360	10,250	11,140	12,030
155,000	4,910	5,800	6,690	7,580	8,470	9,360	10,250	11,140	12,030
165,000	5,875	6,765	7,655	8,545	9,435	10,325	11,215	12,105	12,995
175,000	6,840	7,730	8,620	9,510	10,400	11,290	12,180	13,070	13,960
185,000	7,804	8,694	9,584	10,474	11,364	12,254	13,144	14,034	14,924
195,000	8,769	9,659	10,549	11,439	12,329	13,219	14,109	14,999	15,889
205,000	9,734	10,624	11,514	12,404	13,294	14,184	15,074	15,964	16,854

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Source: Citi Research

Figure 17. Ganfeng Lithium – Implied PE at current share price (1772.HK)

Implied PE at current share price (9696.HK)	Spodumene price (US\$/t)									
	2,900	2,750	2,600	2,450	2,300	2,150	2,000	1,850	1,700	
	105,000	1,544.31	136.09	71.18	48.19	36.43	29.28	24.48	21.03	18.43
	115,000	126.40	68.44	46.92	35.70	28.81	24.15	20.78	18.24	16.26
	125,000	65.90	45.71	34.99	28.35	23.82	20.54	18.06	16.11	14.54
	135,000	44.57	34.32	27.90	23.51	20.31	17.88	15.96	14.42	13.15
	145,000	33.67	27.47	23.20	20.08	17.70	15.82	14.30	13.05	12.00
Ganfeng Blended ASP (Rmb/t excl VAT)	155,000	27.05	22.90	19.85	17.52	15.68	14.19	12.96	11.92	11.04
	165,000	22.61	19.63	17.35	15.54	14.08	12.86	11.84	10.97	10.22
	175,000	19.42	17.18	15.41	13.97	12.77	11.77	10.91	10.16	9.51
	185,000	17.02	15.28	13.86	12.68	11.69	10.84	10.10	9.46	8.90
	195,000	15.15	13.75	12.59	11.61	10.77	10.05	9.41	8.86	8.36
	205,000	13.65	12.50	11.54	10.71	9.99	9.36	8.81	8.32	7.88

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Source: Citi Research

Figure 18. Ganfeng Lithium - Earnings revision

	2026			2027			2028		
	New	Old	Change	New	Old	Change	New	Old	Change
Sales vol (Ton)	233,417	n.a	n.a	258,978	n.a	n.a	285,789	n.a	n.a
Equity vol by upstream (Ton)	114,700	n.a	n.a	128,672	n.a	n.a	143,922	n.a	n.a
Self-sufficient rate	49%	n.a	n.a	50%	n.a	n.a	50%	n.a	n.a
Net revenue (Rmb mn)	51,882	27,705	87%	55,038	34,605	59%	57,996	n.a	n.a
Gross profit	13,877	3,576	288%	13,749	5,382	155%	13,870	n.a	n.a
-- Margin	27%	13%	14%	25%	16%	9%	24%	n.a	n.a
EBITDA (Rmb mn)	12,940	4,473	189%	12,865	4,916	162%	13,072	n.a	n.a
-- Margin	25%	16%	8.8ppt	23%	14%	9.2ppt	23%	n.a	n.a
Net profit (Rmb mn)	8,457	1,446	485%	8,161	1,768	361%	8,152	n.a	n.a
-- Margin	16%	5%	11.1ppt	15%	5%	9.7ppt	14%	n.a	n.a

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Source: Citi Research, Company Reports

Ganfeng Lithium (1772.HK)

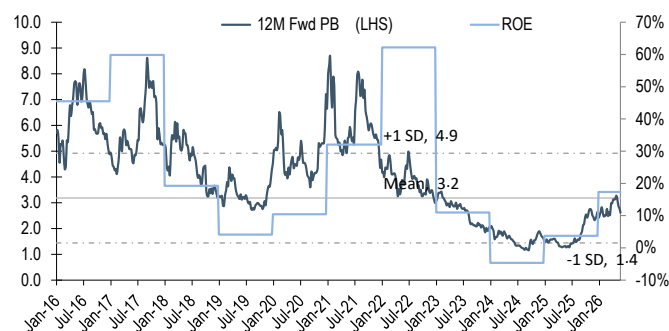
Buy | TP HK\$78.12 from HK\$66.70 | Price HK\$63.35 (01 Jun 26 16:10)

Investment thesis — Ganfeng Lithium should benefit from the lithium ASP uplift amid robust on-the-ground battery demand and improving cost competitiveness on increasing contribution from low-cost upstream resources (i.e., Goulamina, Mariana, and others). Its continual improvement in equity-owned lithium volume in the next 2-3 years (incl. Goulamina, PPG, Cauchari, and others) laid solid foundation on its long-term competitiveness. Also, its fast-developing battery business should provide further upside support to the headline NP in the upcoming years.

Model update — We update our Ganfeng Lithium financial model post FY25 & 1Q26 results set to factor in (1) the strong start of the year on back of soaring lithium ASP in 1Q26, (2) re-built lithium segment driven by integrated part with equity volume and non-integrated part on pure conversion business, and (3) trending better battery business which could largely pass through the raw materials cost inflation (incl. lithium, copper, ali, etc.). We revise up our FY26/27 headline net profit to Rmb8,457 mn and Rmb8,161 mn with blended VAT-included lithium carbonate and spodumene ASP assumption at Rmb175k/t and US\$2,300/t in FY26 and Rmb160k/t and US\$2,050/t in FY27 respectively. Introduce FY28 estimates.

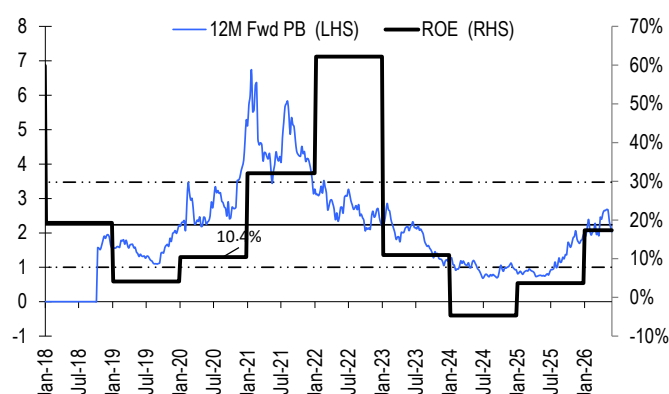
Valuation — Reiterate our Buy rating on Ganfeng Lithium-H, and our target price is revised up to HK\$78.12/sh, as Ganfeng Lithium-H is trading at a discount to the A-share (~30% since 2020). Ganfeng Lithium-H currently trades at 2.0x 2026E P/B and 13.4x 2026E P/E respectively.

Figure 19. Ganfeng Lithium - A: 12M forward P/B



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Source: Citi Research, Bloomberg, Company Reports

Figure 20. Ganfeng Lithium - H: 12M forward P/B



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Tianqi Lithium (002466.SZ)

Buy | TP Rmb75.140 from Rmb71.690 | Price Rmb62.170 (01 Jun 26 15:00)

Investment thesis — Tianqi Lithium is one of the best positions to benefit from lithium upcycle, on back of its pure exposure to lithium space from upstream spodumene to downstream lithium carbonate. Lithium price uptick supports Tianqi with decent earnings recovery in 1Q26 and suggests solid financial performance during the year. Also, Tianqi Lithium's undemanding valuation vs Ganfeng Lithium indicates attractiveness to investors in the near term.

Model update — We update our financial model on Tianqi Lithium post FY25 and 1Q26 results season to factor in (1) YTD business update on lithium conversion and spodumene segments, and (2) lithium ASP uplift and margin recovery in FY26-27E secures the earnings performance on the course of the year. We revise up our FY26/27 headline net profit to Rmb6,969 mn and Rmb5,269 mn with FY26 blended VAT-included lithium carbonate and spodumene ASP assumption at Rmb175k/t and US\$2,300/t in FY26 and Rmb160k/t and US\$2,050/t in FY27 respectively. Introduce FY28 estimates.

Valuation — Reiterate our Buy rating on Tianqi Lithium-A, and our target price is revised up to Rmb75.14/sh, based on 2.5x 2026E P/B, at the historical 5-year average level since 2021 to factor in the tight S/D lithium dynamics amid the battery upcycle. Implied 2026E P/E is ~18x. Tianqi Lithium-A currently trades at 2.0x 2026E P/B and 16.4x 2026E P/E respectively.

Figure 21. Tianqi Lithium - Sensitivity analysis of carbonate & spodumene

Net Income (2026E, Rmb mn)	Spodumene price (US\$/t)									Implied ASP (Rmb/t incl VAT)
	2,900	2,750	2,600	2,450	2,300	2,150	2,000	1,850	1,700	
105,000	2,900	2,988	3,076	3,164	3,252	3,340	3,429	3,517	3,605	118,650
115,000	3,645	3,733	3,822	3,910	3,998	4,086	4,174	4,262	4,350	129,950
125,000	4,391	4,479	4,567	4,655	4,743	4,831	4,919	5,007	5,095	141,250
135,000	5,136	5,224	5,312	5,400	5,488	5,576	5,664	5,753	5,841	152,550
145,000	5,881	5,969	6,057	6,146	6,234	6,322	6,410	6,498	6,586	163,850
155,000	6,627	6,715	6,803	6,891	6,979	7,067	7,155	7,243	7,331	175,150
165,000	7,372	7,460	7,548	7,636	7,724	7,812	7,900	7,989	8,077	186,450
175,000	8,117	8,205	8,293	8,381	8,470	8,558	8,646	8,734	8,822	197,750
185,000	8,862	8,951	9,039	9,127	9,215	9,303	9,391	9,479	9,567	209,050
195,000	9,608	9,696	9,784	9,872	9,960	10,048	10,136	10,224	10,313	220,350
205,000	10,353	10,441	10,529	10,617	10,705	10,794	10,882	10,970	11,058	231,650

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Source: Citi Research

Figure 22. Tianqi Lithium – Implied PE at current share price (9696.HK)

Implied PE at current share price (9696.HK)	Spodumene price (US\$/t)								
	2,900	2,750	2,600	2,450	2,300	2,150	2,000	1,850	1,700
105,000	28.97	28.12	27.31	26.55	25.83	25.15	24.50	23.89	23.31
115,000	23.05	22.50	21.99	21.49	21.02	20.56	20.13	19.71	19.31
125,000	19.14	18.76	18.40	18.05	17.71	17.39	17.08	16.78	16.49
135,000	16.36	16.08	15.82	15.56	15.31	15.07	14.83	14.60	14.38
145,000	14.29	14.07	13.87	13.67	13.48	13.29	13.11	12.93	12.76
Tianqi Blended ASP (Rmb/t excl VAT)	155,000	12.68	12.51	12.35	12.19	12.04	11.89	11.74	11.60
165,000	11.40	11.26	11.13	11.00	10.88	10.75	10.63	10.52	10.40
175,000	10.35	10.24	10.13	10.02	9.92	9.82	9.72	9.62	9.52
185,000	9.48	9.39	9.30	9.21	9.12	9.03	8.95	8.86	8.78
195,000	8.74	8.67	8.59	8.51	8.44	8.36	8.29	8.22	8.15
205,000	8.12	8.05	7.98	7.91	7.85	7.78	7.72	7.66	7.60

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Source: Citi Research

Figure 23. Tianqi Lithium – Earnings revision

Rmb mn	2026			2027			2028		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Lithium compound sales volume (tonne)	103,530	103,530	0%	109,620	115,710	-5%	115,710	n.a	n.a
ASP (Rmb/t, excl VAT)	154,867	76,035	104%	141,593	81,003	75%	132,743	n.a	n.a
Unit cost (Rmb/t)	(48,473)	(56,553)	-14%	(49,669)	(56,767)	-13%	(49,669)	n.a	n.a
GP/t (Rmb/t)	106,394	19,481	446%	91,924	24,236	279%	83,075	n.a	n.a
Spodumene sales volume (tonne)	913,828	798,481	14%	1,037,020	903,981	15%	1,037,020	n.a	n.a
ASP (Rmb/t)	15,295	7,967	92%	13,633	8,919	53%	12,635	n.a	n.a
Unit cost (Rmb/t)	(2,827)	(2,666)	6%	(2,912)	(2,692)	8%	(2,912)	n.a	n.a
GP/t (Rmb/t)	12,468	5,301	135%	10,721	6,226	72%	9,723	n.a	n.a
Net revenue	29,894	14,180	111%	29,544	17,368	70%	28,353	n.a	n.a
COGS	(7,615)	(7,990)	-5%	(8,477)	(9,009)	-6%	(8,780)	n.a	n.a
Gross profit	22,279	6,190	260%	21,067	8,359	152%	19,573	n.a	n.a
SG&A	(930)	(773)	20%	(920)	(946)	-3%	(882)	n.a	n.a
EBIT	21,211	5,369	295%	20,010	7,354	172%	18,560	n.a	n.a
Net interest expense	(757)	(359)	111%	(732)	(292)	151%	(707)	n.a	n.a
Profit before tax	22,282	6,604	237%	21,369	9,007	137%	20,635	n.a	n.a
Income tax expense	(5,571)	(1,849)	201%	(5,342)	(2,522)	112%	(5,159)	n.a	n.a
After-tax income	16,712	4,755	251%	16,027	6,485	147%	15,476	n.a	n.a
Minority interests	9,743	2,248	333%	10,758	3,285	227%	10,054	n.a	n.a
Net income	6,969	2,506	178%	5,269	3,200	65%	5,422	n.a	n.a
Basic and diluted EPS	4.25	1.53	178%	3.21	1.95	65%	3.30	n.a	n.a

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Source: Citi Research, Company Reports

Tianqi Lithium (9696.HK)

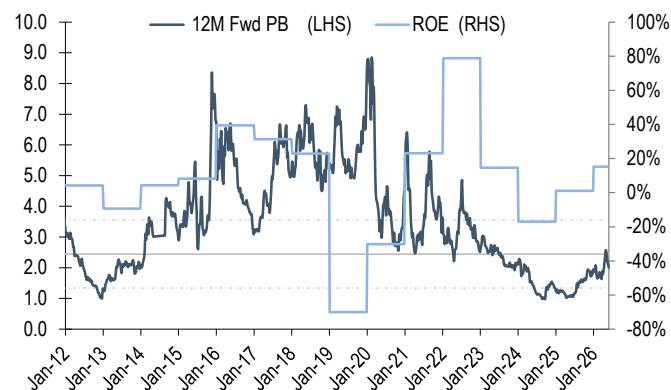
Buy | TP HK\$68.00 from HK\$61.00 | Price HK\$49.04 (01 Jun 26 16:10)

Investment thesis — Tianqi Lithium is one of the best positions to benefit from lithium upcycle, on back of its pure exposure to lithium space from upstream spodumene to downstream lithium carbonate. Lithium price uptick supports Tianqi with decent earnings recovery in 1Q26 and suggests solid financial performance during the year. Also, Tianqi Lithium's undemanding valuation vs Ganfeng Lithium indicates attractiveness to investors in the near term.

Model update — We update our financial model on Tianqi Lithium post FY25 and 1Q26 results season to factor in (1) YTD business update on lithium conversion and spodumene segments, and (2) lithium ASP uplift and margin recovery in FY26-27E secures the earnings performance on the course of the year. We revise up our FY26/27 headline net profit to Rmb6,969 mn and Rmb5,269 mn with FY26 blended VAT-included lithium carbonate and spodumene ASP assumption at Rmb175k/t and US\$2,300/t in FY26 and Rmb160k/t and US\$2,050/t in FY27 respectively. Introduce FY28 estimates.

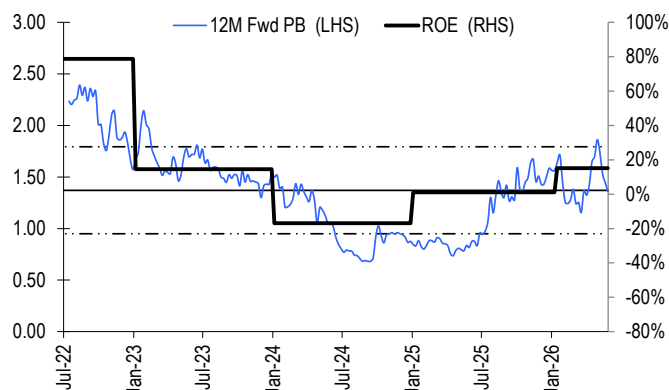
Valuation — Reiterate our Buy rating on Tianqi Lithium-H, and our target price is revised up to HK\$68/sh, as Tianqi Lithium H-share is trading at a discount to the A-share (~25% A/H discount since its H-share listing). Tianqi Lithium-H currently trades at 1.4x 2026E P/B and 11.1x 2026E P/E respectively.

Figure 24. Tianqi Lithium - A: 12M forward P/B



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Source: Citi Research, Bloomberg, Company Reports

Figure 25. Tianqi Lithium - H: 12M forward P/B



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Source: Citi Research, Bloomberg, Company Reports

Companies Mentioned:

CALB Group Co Ltd (3931.HK; HK\$30.08; 1; 01 Jun 26; 16:10) | CATL (300750.SZ; Rmb420.1; 1; 01 Jun 26; 15:00) | Eve Energy (300014.SZ; Rmb64.99; 1; 01 Jun 26; 15:00) | Hunan Yuneng New Energy Battery Material (301358.SZ; Rmb85.07; 1; 01 Jun 26; 15:00)

Bull/Bear: Ganfeng Lithium (002460.SZ)

Rmb **100.000**
▲ 43% Upside

Rmb **93.000**
▲ 33% Upside

Rmb **60.000**
▼ 14% Downside

Rmb



Spread 57pp
Current Price and expected returns (upside/downside) as of 01 Jun 2026



BULL Assumptions

- at 4x 2026 P/B multiple



BASE Assumptions

- at 3.5x 2026 P/B multiple



BEAR Assumptions

- at 2.5x 2026 P/B multiple

Bull/Bear: Ganfeng Lithium (1772.HK)

HK\$ 85.00



▲34% Upside

HK\$ 78.12



▲23% Upside

HK\$ 60.00



▼5.3% Downside

HK\$



Spread 39pp
Current Price and expected returns (upside/downside) as of 01 Jun 2026



BULL Assumptions

- At 4x 2026E P/b multiple



BASE Assumptions

- At 3.5x 2026E P/b multiple



BEAR Assumptions

- At 2.5x 2026E P/b multiple

Bull/Bear: Tianqi Lithium (002466.SZ)

Rmb **85.000**
▲37% Upside

Rmb **75.140**
▲21% Upside

Rmb **50.000**
▼20% Downside

Rmb



Spread 56pp
Current Price and expected returns (upside/downside) as of 01 Jun 2026



BULL Assumptions

- at 3x 2026 PB multiple



BASE Assumptions

- at 2.6x 2026 PB multiple



BEAR Assumptions

- at 2x 2026 PB multiple

Bull/Bear: Tianqi Lithium (9696.HK)

HK\$ **85.00**
▲73% Upside

HK\$ **68.00**
▲39% Upside

HK\$ **40.00**
▼18% Downside



Spread 92pp
Current Price and expected returns (upside/downside) as of 01 Jun 2026



BULL Assumptions

- at 2x 2026 PB multiple



BASE Assumptions

- at 1.82x 2026E PB multiple



BEAR Assumptions

- at 1x 2026E PB multiple

Ganfeng Lithium

Company description

Jiangxi Ganfeng is one of the largest lithium producers in China. Established in 1996, the company went public in the Shenzhen Stock Exchange in 2010 and in the HKEx in 2018. With most of its operations in Jiangxi province, the company has ~116kt lithium carbonate and ~131kt lithium hydroxide capacity as of YE2025.

Investment strategy

We rate Ganfeng Lithium as Buy. The company should benefit from the lithium ASP uplift amid robust on-the-ground battery demand, and improving cost competitiveness on increasing contribution from low-cost upstream resources (i.e. Goulamina, Mariana, and others). Its continual improvement in equity-owned lithium volume in the next 2-3 years (incl. Goulamina, PPG, Cauchari, and others) laid solid foundation for its long-term competitiveness. Also, its fast-developing battery business should provide further upside support to the headline NP in the upcoming years.

Valuation

TP is set at Rmb93/sh for Ganfeng Lithium-A based on 3.2x 2026E P/B, at the 5-year historical average level since 2021, factoring in the tight S/D lithium dynamics set-up ahead. Implied 2026 P/E is 22x.

Risks

Key downside risks that could impede Ganfeng Lithium A-share from reaching our target price include: (1) geopolitical risk on its overseas mining assets, (2) lower-than-expected lithium-ion battery demand, and (3) slower-than-expected ramp-up of Goulamina and Mariana.

Ganfeng Lithium

Company description

Jiangxi Ganfeng is one of the largest lithium producers in China. Established in 1996, the company went public in the Shenzhen Stock Exchange in 2010 and in the HKEx in 2018. With most of its operations in Jiangxi province, the company has ~116kt lithium carbonate and ~131kt lithium hydroxide capacity as of YE2025.

Investment strategy

Ganfeng Lithium should benefit from the lithium ASP uplift amid robust on-the-ground battery demand, and improving cost competitiveness on increasing contribution from low-cost upstream resources (i.e. Goulamina, Mariana, and others). Its continual improvement in equity-owned lithium volume in the next 2-3 years (incl. Goulamina, PPG, Cauchari, and others) laid solid foundation for its long-term competitiveness. Also, its fast-developing battery business should provide further upside support to the headline NP in the upcoming years.

Valuation

We value Ganfeng-H at HK\$78.12/share, set at a 30% discount to our Ganfeng-A target price and after factoring in the exchange rate. The 30% discount is in line with the historical average H/A-share discount since 2020.

Risks

Key downside risks that could impede Ganfeng Lithium H-share from reaching our target price include: (1) geopolitical risk on its overseas mining assets, (2) lower-than-expected lithium-ion battery demand, and (3) slower-than-expected ramp-up of Goulamina and Mariana.

Tianqi Lithium

Company description

As of YE2024, Tianqi Lithium had 1.62mntpa spodumene capacity and 91,800tpa lithium compound capacity. Tianqi has a 26.01% stake in Talison, which controls the Greenbushes spodumene (lithium ore) mine in Australia, the largest spodumene mine in the world with the highest grade of lithium ore (Li₂O at 1.3%). This move has enabled Tianqi to secure low-cost mineral resources. Tianqi's products, including lithium carbonate and lithium hydroxide, are widely used in electric vehicle batteries, industrial grease, ceramics, and glass.

Investment strategy

We rate Tianqi Lithium as Buy. The stock is one of the best positions to benefit from lithium upcycle, on back of its pure exposure to lithium space from upstream spodumene to downstream lithium carbonate. Lithium price uptick supports Tianqi with decent earnings recovery in 1Q26, and suggests solid financial performance on the course of the year. Also, Tianqi Lithium's undemanding valuation vs Ganfeng Lithium indicates attractiveness to investors in the near term.

Valuation

We use a P/B multiple for better apple-to-apple comparison vs Ganfeng Lithium. Our TP is set at Rmb75.14/sh based on 2.5x 2026E P/B, the historical average level since 2021 to reflect the tight S/D lithium market dynamics ahead.

Risks

Key downside risks that could impede Tianqi Lithium A-share from reaching our target price include: (1) weaker-than-expected lithium-ion battery demand, and (2) any supply disruption on the policy uncertainties.

Tianqi Lithium

Company description

As of YE2024, Tianqi Lithium had 1.62mntpa spodumene capacity and 91,800tpa lithium compound capacity. Tianqi has a 26.01% stake in Talison,

which controls the Greenbushes spodumene (lithium ore) mine in Australia, the largest spodumene mine in the world with the highest grade of lithium ore (Li₂O at 1.3%). This move has enabled Tianqi to secure low-cost mineral resources. Tianqi's products, including lithium carbonate and lithium hydroxide, are widely used in electric vehicle batteries, industrial grease, ceramics, and glass.

Investment strategy

We rate Tianqi Lithium as Buy. The stock is one of the best positions to benefit from lithium upcycle, on back of its pure exposure to lithium space from upstream spodumene to downstream lithium carbonate. Lithium price uptick supports Tianqi with decent earnings recovery in 1Q26, and suggests solid financial performance on the course of the year. Also, Tianqi Lithium's undemanding valuation vs Ganfeng Lithium indicates attractiveness to investors in the near term.

Valuation

We value Tianqi H-shares at HK\$68.0 based on 1.88x 2026E P/B multiple. We ascribe a 25% discount to our Tianqi-A target P/B, in line with the historical average H/A-share discount for dual-listed since its H-share listing.

Risks

Key downside risks that could impede Tianqi Lithium H-share from reaching our target price include: (1) share dilution on SQM stake holding from the M&A between SQM and Coldelco, (2) lower-than-expected lithium-ion battery demand, and (3) unexpected production cut from Greenbushes.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

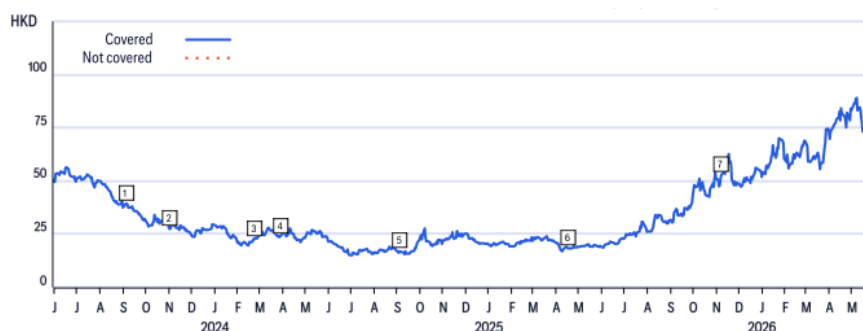
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IMPORTANT DISCLOSURES

Ganfeng Lithium (1772.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Shang, CFA



	Date	Rating	Target Price	Closing Price
1	05-Sep-23 13:59:34	1	*48.20	39.25
2	01-Nov-23 02:50:09	1	*35.20	27.55
3	22-Feb-24 03:33:24	1	*37.70	22.45

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	01-Apr-24 06:32:06	1	*35.10	23.95
5	03-Sep-24 06:50:15	1	*26.00	16.90
6	21-Apr-25 14:09:30	*2	*20.43	18.30

	Date	Rating	Target Price	Closing Price
7	09-Nov-25 20:05:49	*1	*66.70	52.70

Rating/target price changes above reflect Eastern Time

Tianqi Lithium (9696.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Cynthia Wu



	Date	Rating	Target Price	Closing Price
1	29-Oct-23 17:06:28	*2	*44.00	43.30
2	11-Apr-24 23:08:15	2	*40.00	39.85

*Indicates Change

	Date	Rating	Target Price	Closing Price
3	02-May-24 13:53:53	*1	*42.00	31.90
4	03-Sep-24 23:51:07	1	*27.00	19.28

	Date	Rating	Target Price	Closing Price
5	21-Apr-25 14:09:30	*2	*23.00	21.20
6	09-Nov-25 20:05:49	*1	*61.00	52.55

Rating/target price changes above reflect Eastern Time

Tianqi Lithium (002466.SZ)

Ratings and Target Price History Fundamental Research

Analyst: Cynthia Wu



	Date	Rating	Target Price	Closing Price
1	29-Oct-23 17:06:28	*3	*50.00	55.60
2	11-Apr-24 23:08:15	3	*43.00	50.06

	Date	Rating	Target Price	Closing Price
3	02-May-24 13:53:53	*1	*48.00	39.51
4	03-Sep-24 23:51:07	1	*31.00	26.15

	Date	Rating	Target Price	Closing Price
5	21-Apr-25 14:09:30	*3	*26.26	27.71
6	09-Nov-25 20:05:49	*1	*71.69	56.99

*Indicates Change

Rating/target price changes above reflect Eastern Time

Ganfeng Lithium (002460.SZ)

Ratings and Target Price History Fundamental Research

Analyst: Jack Shang, CFA



	Date	Rating	Target Price	Closing Price
1	05-Sep-23 13:59:34	1	*57.40	49.29
2	01-Nov-23 02:50:09	*3	*41.90	43.30

	Date	Rating	Target Price	Closing Price
3	22-Feb-24 03:33:24	*1	*44.90	36.09
4	03-Sep-24 06:50:15	1	*31.00	26.60

	Date	Rating	Target Price	Closing Price
5	21-Apr-25 14:09:30	*3	*26.20	30.89
6	09-Nov-25 20:05:49	*1	*85.51	69.99

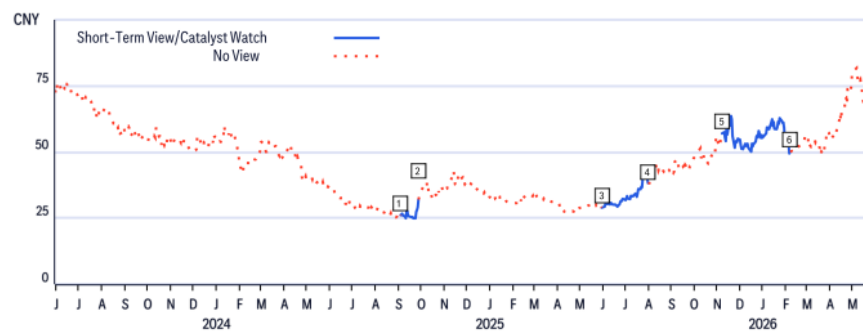
*Indicates Change

Rating/target price changes above reflect Eastern Time

Tianqi Lithium (002466.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Cynthia Wu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Sep-24 19:51:07	Add CW	Downside	30 Days	26.15
2	27-Sep-24 00:24:00	Remove CW	Downside	30 Days	32.00

	Date	Action	Expected Direction	Duration	Closing Price
3	02-Jun-25 02:08:05	Add CW	Upside	90 Days	28.94
4	31-Jul-25 08:12:56	Remove CW	Upside	90 Days	38.23

	Date	Action	Expected Direction	Duration	Closing Price
5	09-Nov-25 15:05:49	Add STV	Upside	90 Days	56.99
6	06-Feb-26 12:28:07	Remove STV	Upside	90 Days	50.20

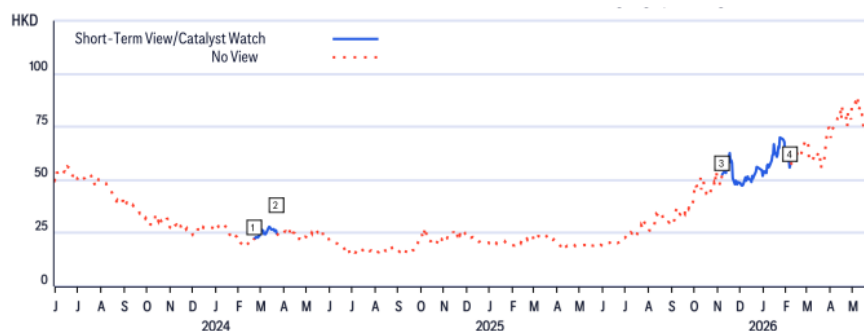
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Ganfeng Lithium (1772.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jack Shang, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	21-Feb-24 22:33:24	Add CW	Upside	30 Days	22.55
2	22-Mar-24 12:04:33	Remove CW	Upside	30 Days	24.80
3	09-Nov-25 15:05:49	Add STV	Upside	90 Days	52.70
4	06-Feb-26 12:28:02	Remove STV	Upside	90 Days	57.30

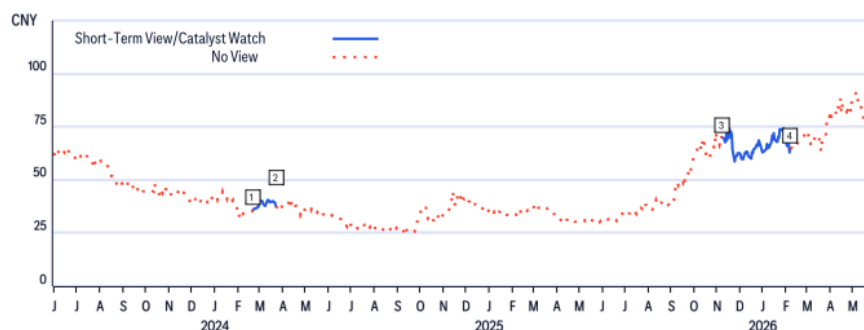
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Ganfeng Lithium (002460.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jack Shang, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	21-Feb-24 22:33:24	Add CW	Upside	30 Days	36.15
2	22-Mar-24 12:04:34	Remove CW	Upside	30 Days	37.58
3	09-Nov-25 15:05:49	Add STV	Upside	90 Days	69.99
4	06-Feb-26 12:27:55	Remove STV	Upside	90 Days	64.75

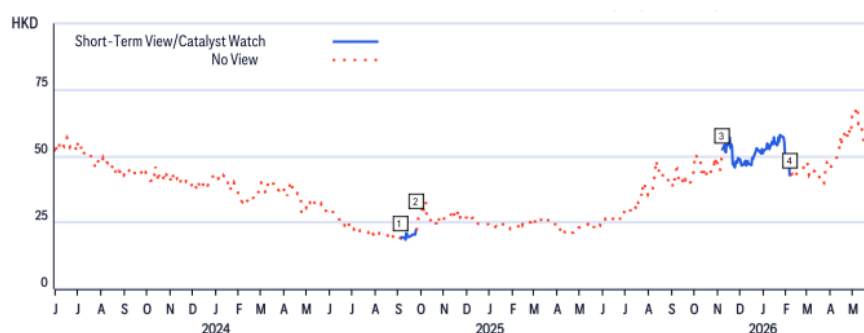
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Tianqi Lithium (9696.HK)

Short-Term View/Catalyst Watch Research

Analyst: Cynthia Wu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Sep-24 19:51:07	Add CW	Downside	30 Days	19.28
2	24-Sep-24 01:08:26	Remove CW	Downside	30 Days	22.25
3	09-Nov-25 15:05:49	Add STV	Upside	90 Days	52.55
4	06-Feb-26 12:27:50	Remove STV	Upside	90 Days	42.86

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of Contemporary Amperex Technology Co Ltd on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Tianqi Lithium Corp on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Ganfeng Lithium Group Co., Ltd on at least one occasion since 1 Jan 2025.

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The Firm is a market maker in the publicly traded equity securities of CATL, Ganfeng Lithium.

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Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%
% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%

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